

1. KEY DEVELOPMENTS

- ▶ UAE ruler Mohammed bin Rashid launched 'UAE Government 4.0,' deploying the country's first cohort of AI agents across federal ministries to automate public services, with 400 ministers and senior officials attending the unveiling. [Emirates 24|7 · May 18] [Fast Company Middle East · May 21] [Middle East AI News · May 21] [Arabian Business · May 20] [ZAWYA · May 20] [MIT Sloan Management Revi... · May 20]
- ▶ Saudi AI firm Humain selected Goldman Sachs to arrange financing for a \$5.3 billion (SAR 20 billion) data-center project in the kingdom. [Finimize · May 19] [Moomoo · May 19] [HarianBasis.co · May 20]
- ▶ Abu Dhabi's MGX backed a \$2.1 billion funding round for UK-based AI drug-discovery firm Isomorphic Labs. [ZAWYA · May 20] [TradingView · May 20]
- ▶ UAE Cabinet Minister Mohammad Al Gergawi declared the UAE's intent to become the world's leading government in agentic AI deployment, framing the initiative as a federal-level structural overhaul of public administration. [Arabian Business · May 20] [ZAWYA · May 20] [MIT Sloan Management Revi... · May 20]
- ▶ The UAE's exit from OPEC production constraints was reported to be redirecting oil revenues toward large-scale AI investment as a core sovereign strategy. [Rest of World · May 20]

2. ACTIVITY BY COUNTRY

UAE

- ▶ Mohammed bin Rashid launched 'UAE Government 4.0', deploying the country's first cohort of AI agents across public services, with 400 ministers and senior officials convened to shape the initiative's next phase. [Emirates 24|7 · May 18] [Fast Company Middle East · May 21] [Middle East AI News · May 21]
- ▶ Cabinet Affairs Minister Mohammad Al Gergawi unveiled a UAE Agentic AI strategy aimed at positioning the country as the world's leading government in agentic AI deployment. [Arabian Business · May 20] [ZAWYA · May 20]

SAUDI ARABIA

- ▶ Saudi AI firm Humain selected Goldman Sachs to advise on a SAR 20 billion (~\$5.3 billion) data-centre financing package targeting Riyadh, according to sources. [Finimize · May 19] [Moomoo · May 19] [HarianBasis.co · May 20] [EnterpriseAM · May 20] [Finance News Network · May 19] [Sharecafe · May 19] [ZAWYA · May 19] [Reuters · May 19]

QATAR

- ▶ Qatar Foundation launched a \$30 million fund to back deep-tech ventures, with five international VC firms joining as co-investment partners from day one. [Middle East AI News · May 17]
- ▶ Qatari delivery platform Rafeeq announced a strategic partnership with Google to accelerate AI-driven commerce and operations. [The Peninsula Qatar · May 18] [Qatar Tribune · May 17]
- ▶ The WISE policy dialogue in Doha warned of an AI readiness gap in classrooms, drawing on global research to assess how prepared schools are for AI integration. [The Peninsula Qatar · May 19] [Muslim Network TV · May 19] [Qatar Tribune · May 18]
- ▶ Orchestro.AI's founder told Gulf Times that trusted AI would define Qatar's next phase of logistics transformation. [Gulf Times · May 21]

KUWAIT

- ▶ Kuwait pursued a low-profile AI adoption strategy that analysts assessed as yielding measurable returns, according to Markets Herald, though specific programs, figures, and timelines were not disclosed. [Markets Herald · May 19]

OMAN

- ▶ Omantel launched an AI Centre and startup programme aimed at accelerating Oman's digital transformation, providing infrastructure and support for technology ventures. [TechAfrica News · May 18] [CairoScene · May 21]
- ▶ Italy and Oman signed an agreement for a 150 MW green data centre project, signalling a shift toward large-scale AI infrastructure investment. [MEP Middle East · May 19]
- ▶ Oman deployed the country's first AI-powered autonomous asphalt self-paving technology, marking an expansion of AI adoption into physical infrastructure sectors. [Economy Middle East · May 20]
- ▶ Oman's AI strategy broadly shifted focus from consumer apps to foundational infrastructure, with analysts noting implications for foreign investors and entrepreneurs. [Oman Observer · May 19] [Omanet.om · May 19]

ISRAEL

- ▶ The U.S. weighed establishing 'Project Spire,' a secure AI computing base in Israel's Negev desert, framed as a counter to China's growing tech capabilities. [Crypto Briefing · May 18] [International Business Times · May 18] [Firstpost · May 18] [Let's Data Science · May 18] [The Jerusalem Post · May 18]
- ▶ Israel approved a national AI strategy prioritising talent development, computing power, and fast-track startup incubators. [JNS.org · May 17] [Let's Data Science · May 17]
- ▶ The IDF equipped units with AI-driven SMASH systems designed to defeat low-cost FPV drone attacks. [All Israel News · May 20]

EGYPT

- ▶ Egypt's AI deal count rose 88% year-on-year, signalling accelerating investment activity in North Africa's largest tech market. [TechRound · May 19]
- ▶ Klivvr launched K.ai, described as Egypt's first interactive AI assistant embedded in a fintech application. [TradingView · May 21]
- ▶ GrowthLabs acquired Egypt-based founder-investor network Startup Gate for \$657,000 (EGP 35 million), facilitated by M-Empire, with plans to expand into five MENA countries by end-2026. [Wamda · May 18]
- ▶ Cairo hosted the IATA Ground Handling Conference 2026, showcasing AI-driven airport operational innovations. [Travel And Tour World · May 17]

JORDAN

- ▶ Jordan reported a 16% fall in cyber incidents despite escalating AI-driven threats, according to the Jordan News Agency. [وكالة الأنباء الأردنية · May 19]
- ▶ Jordan Internal Audit Forum 2026 was announced with a stated aim of advancing AI-driven governance and public trust. [Mena FN · May 20]

KALYM AI BRIEF

3. COMPUTE / DATA CENTER STATUS

COUNTRY	STATUS
UAE	NONE
Saudi Arabia	ACTIVE
Qatar	NONE
Bahrain	NONE
Kuwait	NONE
Oman	ACTIVE
Israel	ACTIVE
Egypt	NONE
Jordan	NONE

NONE

 no signal

NORMAL

 steady

ACTIVE

 notable move

SURGE

 major investment

4. CHIP & GPU FLOWS

- ▶ UAE gifted Indian Prime Minister Modi an Nvidia AI superchip and signed approximately \$5 billion in deals during his visit, signalling GPU diplomacy as a strategic foreign-policy tool. [MSN · May 19] [South China Morning Post · May 18]
- ▶ UAE leveraged Nvidia chip access to position itself as an AI infrastructure bridge to Global South nations, using compute capacity as a diplomatic and economic instrument. [South China Morning Post · May 18]

5. AI CAPABILITY MATRIX

Capability	UAE	Saudi Arabia	Qatar	Bahrain	Kuwait	Oman	Israel	Egypt	Jordan
Sovereign LLM	active						active		
Cloud / Data Center	active	surge				active	surge		
Healthcare AI	normal					normal		active	
Defense / Security AI	active			normal			active		
Fintech AI	surge	active	active					active	
Research Labs	active		active						

none

normal

active

surge

6. AI INCIDENTS & MISUSE

- ▶ Malicious AI bots accounted for more than one-third of all internet traffic recorded in Israel, according to a new report cited by Ynetnews. [ynetnews · May 20]
- ▶ Iran claimed Prime Minister Benjamin Netanyahu is dead and accused Israel of deploying an AI-generated double in his public appearances, per a Vocal Media report. [vocal.media · May 19]
- ▶ Cyber incidents in Jordan fell 16% in the latest reporting period despite security agencies warning of escalating AI-driven threat activity, per the Jordan News Agency. [وكالة الانباء الاردنية · May 19]

7. SPOTLIGHT — UAE GOVERNMENT 4.0: AGENTIC AI ACROSS PUBLIC SERVICES

- ▶ The UAE has launched its first cohort of government AI agents under the 'UAE Government 4.0' initiative, marking a structural shift from AI as a productivity tool to AI as an autonomous executor of public-service functions — a distinction that places the UAE ahead of most OECD governments in deployment ambition. [Fast Company Middle East · May 21] [Middle East AI News · May 21]
- ▶ Cabinet Minister Mohammad Al Gergawi framed the initiative explicitly around global leadership in agentic AI deployment, signaling that the UAE views this not merely as an efficiency drive but as a sovereign competitiveness strategy — with 400 ministers and senior officials convened to align on implementation. [Arabian Business · May 20] [ZAWYA · May 20] [Middle East AI News · May 20]
- ▶ The agentic model — where AI systems take multi-step autonomous actions rather than respond to single prompts — raises governance complexity well beyond chatbot-era deployments, and the UAE's move to formalize this at the federal level will serve as a live test case for accountability frameworks in the region. [Fast Company Middle East · May 21] [Middle East AI News · May 21] [Arabian Business · May 20]
- ▶ The initiative builds on the UAE's existing AI infrastructure advantages, including G42 and Core42's compute capacity, meaning the country can credibly claim an end-to-end sovereign AI stack — from chips and data centers to deployed government agents — that few nations can match. [Middle East AI News · May 21]
- ▶ If the first cohort of agents demonstrably reduces service latency or administrative cost, the political incentive for GCC neighbors to replicate the model rapidly is high, potentially accelerating a regional agentic-AI race in government that mirrors the current data-center buildout competition. [Emirates 24|7 · May 18] [Fast Company Middle East · May 21] [ZAWYA · May 20]

8. FUNDING & MARKETS

- ▶ Abu Dhabi's MGX participated in a \$2.1 billion funding round for UK-based AI drug discovery firm Isomorphic Labs. [ZAWYA · May 20] [TradingView · May 20] [entARABI · May 18]
- ▶ Saudi AI firm Humain engaged Goldman Sachs to advise on a SAR 20 billion (~\$5.3 billion) financing package for Riyadh data centers. [EnterpriseAM · May 20] [Finance News Network · May 19] [Sharecafe · May 19]
- ▶ Saudi fintech Arib raised \$23.5 million led by Merak Capital, with the round including Sharia-compliant Murabaha financing facilities; the 2018-founded digital lending marketplace plans to expand products and technology infrastructure. [Wamda · May 19]
- ▶ UAE-based RemotePass raised \$17.4 million in a Series B led by EBRD Venture Capital, with 500 Global, Oraseya Capital, 212 VC, Access Bridge Ventures, and Khwarizmi Ventures participating; the payroll platform reached profitability in early 2025 before reinvesting in expansion. [Wamda · May 20]
- ▶ Israel-based NanoCo raised \$12 million to scale its enterprise AI professional assistant platform. [Israel Defense · May 21]
- ▶ UAE proptech eVoost AI raised \$2.2 million to fund global expansion. [CairoScene · May 19]